

Taxation

Earning Money

2026

Preliminary Mathematics Standard

Outline

Taxable Income

Tax Tables

PAYG

Medicare Levy

Net Earnings

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Taxable Income and Allowable Deductions

Key Formula

$$\text{Taxable Income} = \text{Gross Income} - \text{Allowable Deductions}$$

Gross Income includes:

- Wages, salary, overtime
- Interest earned on savings
- Rental income, dividends

Allowable Deductions (work-related expenses):

- Work uniforms and protective clothing
- Union fees, professional memberships
- Tools and equipment used for work
- Work-related travel (not home ↔ work)
- Self-education expenses (if work-related)

Worked Example

Example

Mia earns \$74 000 per year. She has the following work-related expenses:

- Work uniform: \$320
- Tools: \$850
- Professional membership: \$430

Calculate her taxable income.

Solution:

$$\text{Total deductions} = 320 + 850 + 430 = \$1\,600$$

$$\text{Taxable income} = 74\,000 - 1\,600 = \textbf{\$72\,400}$$

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Tax Payable — Australian Tax Rates (2025-26)

Taxable Income	Tax Payable
\$0 – \$18 200	Nil
\$18 201 – \$45 000	19c for each \$1 over \$18 200
\$45 001 – \$120 000	\$5 092 + 32.5c for each \$1 over \$45 000
\$120 001 – \$180 000	\$29 467 + 37c for each \$1 over \$120 000
Over \$180 000	\$51 667 + 45c for each \$1 over \$180 000

Table 1: The above rates **do not** include the Medicare levy of 2%.

Tax Payable — Worked Example

Example

Using the tax table, calculate the income tax payable on Mia's taxable income of \$72 400.

Step 1: Identify the correct bracket.

Step 2: Apply the formula.

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Pay As You Go (PAYG) Withholding

What is PAYG?

Employers deduct tax from each pay and send it to the ATO on your behalf, so you don't owe a large sum at the end of the year.

Converting between pay periods:

Period	From annual	From weekly
Weekly	$\div 52$	$\times 1$
Fortnightly	$\div 26$	$\times 2$
Monthly	$\div 12$	$\times 4.333$

ATO provides **tax withheld calculators** and withholding tables for each pay period — use the column matching the period.

PAYG — Worked Example

Example

Mia's annual tax payable is \$13 997. Calculate the tax to be withheld each week, fortnight, and month.

$$\text{Weekly} = \frac{13\,997}{52} \approx \textbf{\$269.17}$$

$$\text{Fortnightly} = \frac{13\,997}{26} \approx \textbf{\$538.35}$$

$$\text{Monthly} = \frac{13\,997}{12} \approx \textbf{\$1\,166.42}$$

In practice, employers use ATO tax tables which round to the nearest dollar.

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The Medicare Levy

What is it?

A compulsory charge that funds Australia's public healthcare system (Medicare).

Standard rate: 2% of taxable income

$$\text{Medicare Levy} = \text{Taxable Income} \times 0.02$$

Key exceptions / reductions:

- Low-income earners may be exempt or pay a reduced levy
- Some individuals (e.g., certain visa holders) are exempt

Mia's Medicare Levy

$$72\,400 \times 0.02 = \$1,448$$

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Net Earnings After All Deductions

Formula

Net Earnings = Gross Income – Deductions – Income Tax – Medicare Levy

Mia's Net Annual Earnings

Gross income = \$74 000

Work deductions = –\$1 600

Income tax = –\$13 997

Medicare levy = –\$1 448

Net earnings = **\$56 955**

Tax Returns — Refund or More Tax?

At the end of the financial year (30 June), you lodge a **tax return**:

Refund Owed TO You

Tax withheld $>$ Tax payable

You overpaid throughout the year.

Refund = Withheld – Payable

Tax Still Owed BY You

Tax withheld $<$ Tax payable

You underpaid throughout the year.

Owing = Payable – Withheld

Remember: Tax payable is calculated on the *full* taxable income including the Medicare levy.

Tax Return — Worked Example

Example

During the year Mia's employer withheld \$15 820 in total tax. Her tax payable is \$13 997 and Medicare levy is \$1 448.

Step 1: Total tax liability

$$13\,997 + 1\,448 = \$15\,445$$

Step 2: Compare with withheld amount

$$15\,820 - 15\,445 = \$375$$

Since withheld > payable, Mia receives a **refund of \$375**.

Summary

Step	What to do
1. Taxable income	Gross income – allowable deductions
2. Income tax	Apply ATO tax brackets to taxable income
3. PAYG	Divide annual tax by pay periods (52/26/12)
4. Medicare levy	Taxable income $\times$ 2%
5. Net earnings	Gross – deductions – tax – Medicare
6. Tax return	Compare withheld vs. actual liability

Practice Questions

Example

James earns \$58 000 and has deductions of \$2 300.

Calculate his: (a) taxable income, (b) income tax, (c) Medicare levy, (d) net annual income.

Example

Sarah's employer withholds \$890 fortnightly in PAYG tax.

Her annual tax liability (incl. Medicare) is \$22 100.

Will she receive a refund or owe more tax? By how much?

Example

A worker earns \$130 000 with \$4 200 in deductions.

Find the tax withheld per month under PAYG.

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Complete all questions from *Earning Money — Taxation*.